



April 18, 2008. M. Chinnaswamy Stadium, Bengaluru. Lazershow. Floodlights. Noise. It felt less like the birth of a sports league and more like a music concert. The stands were also filled with faces more familiar with film sets and boardrooms than cricket. Cricketers, many still adjusting to the shortest format of the game, found the high-stakes auctions surreal, still overwhelmed by how their names sparked bidding wars.

In the Kolkata Knight Riders (KKR) dugout sat Sourav Ganguly, India's former captain, beside men he had sledged while representing India. Tonight, they wore the same jersey, sharing the same dressing room.

The crowd didn't care. They were already in love as Brendon McCullum walked out to bat alongside Ganguly, swinging from the very first ball. A Kiwi, batting in Bengaluru, under an Indian captain, for an Indian-owned franchise, scoring 158 not out off 73 balls. The IPL had made a promise on opening night. McCullum kept it.

Off the field, millions tuned in that evening, and every evening after. The timing couldn't be better. India had just won the inaugural ICC World T20, and an entire nation was hungry for more. The IPL was ready to feed that appetite.

But not everyone was convinced. Critics dismissed the league as a vanity project, a flashy playground for the rich, driven more by branding than business logic. The excitement, they argued, would be short-lived.

What began as a spectacle 18 years ago has now become one of the most valuable sports businesses in the world and, increasingly, an asset class. The recent ownership churn at Royal Challengers Bengaluru (RCB) and Rajasthan Royals (RR), both changing hands at valuations around ₹16,000 crore, makes this clear. Even accounting for differences in deal structure, these transactions provide the first credible market benchmarks for IPL franchise valuations.

The IPL is now a sporting ecosystem that generated a revenue of over

\$1.5 billion, which translates into 8% of India's sports industry, estimated around \$19 billion, in FY25, according to the KPMG report.

THE ECONOMICS

The original revenue model was straightforward: centrally shared broadcasting revenue by the Board of Control for Cricket in India (BCCI), match-day ticket sales, jersey sponsorships, and merchandise. There were no global franchise extensions, no branded cafés, no 360-degree content monetisation. Owners came on board more for visibility than returns, which were hard to find.

"It was a vanity buy initially. The leadership team from the BCCI and everybody else involved with the league were going to their personal contacts, and it was hard to convince them to invest," says Dhiraj Malhotra, founding member of the IPL leadership team, currently CEO, Washington Freedom & Welsh Fire, and former CEO of Delhi Capitals (IPL).

The initial franchise owners were on board for branding and had less knowledge of cricket. However, that changed over the years, and owners now come with knowledge of the game. "They are following the future tour programmes of the teams, following domestic cricket. There is genuine interest. They understand how a team is to be built, how you build it not just around superstars but as per player utility," he adds.

Over 70% of franchise revenues are derived from centrally shared media rights and sponsorship pools, with only limited dependence on on-field performance. Revenues flow in whether your team wins or loses, every season.